LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What is Quasi Equity Structures ?

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Module 1: Theoretical Foundations and Product Philosophy of Quasi-Equity

1.1 The Concept of Hybrid Capital and Quasi-Equity

In corporate finance and capital structuring, **Quasi-Equity** (often referred to as hybrid capital, mezzanine debt, or subordinated convertible instruments) represents a highly specialized category of financial instruments that exhibit characteristics of both debt and equity. Positioned between senior secured debt and pure common equity in the capital waterfall, quasi-equity provides vital flexibility to growing companies, project SPVs (Special Purpose Vehicles), and promoter groups.

A standalone company or project SPV often faces a major financing dilemma: they require significant capital to fund project development or business expansion, yet their capacity to raise additional senior secured bank debt is constrained by rigid debt-service coverage ratios and leverage covenants. Conversely, raising pure common equity at an early stage leads to immediate, permanent dilution of the promoter's voting power and ownership interest. Quasi-equity bridges this gap by acting as "quasi" (resembling) equity for the senior lender's underwriting purposes, while contractually retaining debt-like servicing mechanisms for the investor until a pre-defined conversion event occurs.

1.2 Underwriting Philosophy: Shifting the Focus to Cash Flow and Conversion Value

Traditional senior debt underwriting relies heavily on asset-backed mortgage security, historical balance sheet solvency, and conservative asset cover ratios. Quasi-equity underwriting, by contrast, operates on a **cash flow and enterprise value (EV) optimization model**.

The quasi-equity investor is structurally subordinated to the senior lender, meaning that in a default or liquidation event, their claims are only satisfied after senior debt is paid in full. To compensate for this elevated risk, the underwriter shifts their focus to: 1. **The Cash Flow Generation Capacity:** Evaluating the enterprise's cash-generating velocity (using a detailed multi-year Cash Budget or Projected Revenue model) to ensure the entity can support the dual obligations of senior debt servicing and junior quasi-equity coupon payments. 2. **The Terminal Enterprise Value (EV):** Assessing the future valuation of the firm at the point of conversion. Since most quasi-equity structures convert into pure common equity upon defined "conversion triggers" (such as an Initial Public Offering (IPO), a secondary funding round, or the project's Commercial

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Operations Date (COD)), the underwriter's risk-mitigation is heavily tied to the company's capital appreciation momentum.

1.3 The Sovereign/Semi-Sovereign and Anchor-Led Substitution Paradox

A core philosophical pillar of structured corporate finance is the **Credit Substitution Principle**. Greenfield project SPVs or high-growth SMEs often carry high standalone credit risk, rendering them ineligible for standard low-cost institutional funding. However, under a structured finance framework, the transaction architect isolates these risks by utilizing a tripartite escrow mechanism, a Trust and Retention Account (TRA), or an absolute assignment of cash flows arising from active contracts with creditworthy, highly rated third-party buyers (referred to as **Anchors**).

When these Anchors are sovereign or semi-sovereign entities (such as public sector undertakings (PSUs), government departments like the National Highways Authority of India (NHAI), or state electricity distribution companies with government-backed power purchase agreements), the cash flows are virtually risk-free. By channeling these contractually secured receivables into a dedicated escrow account, the lender effectively substitutes the weak credit profile of the borrowing SPV with the AAA credit rating of the sovereign Anchor. In a quasi-equity structure, this credit substitution allows investors to subscribe to convertible instruments (like CCDs) at a lower risk premium, confident that the underlying contract cash flows will comfortably support the coupon servicing and ultimate redemption/conversion parameters.

1.4 Taxonomical Classification of Quasi-Equity Instruments

Quasi-equity is not a single product, but a spectrum of highly customizable financial structures. The primary instruments utilized in the Indian corporate ecosystem include:

1. **Compulsorily Convertible Debentures (CCDs):**
    - *Definition:* Debt instruments that must be contractually converted into equity shares of the issuing company after a pre-determined tenure (typically **3 to 10 years**) or upon the occurrence of a specific milestone (e.g., IPO, next equity round).
    - *Regulatory & Balance Sheet Status:* Under Indian exchange control regulations (RBI FEMA guidelines), CCDs are classified as **Equity** from Day 1 for foreign direct investment (FDI) purposes, allowing foreign investors to bypass restrictive ECB (External Commercial Borrowing) caps. On the balance sheet, CCDs are treated as **quasi-equity/hybrid capital** under **Ind AS 32**, representing a valuable buffer that senior lenders treat as Net Working Capital (NWC).

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- *Tax Shield:* Prior to the conversion event, any nominal interest or coupon paid on CCDs is treated as a borrowing cost. Under **Section 36(1)(iii) of the Income Tax Act, 1961**, this interest is fully tax-deductible, creating a powerful post-tax financial shield for the issuing corporate.

2. **Compulsorily Convertible Preference Shares (CCPS):**
   - *Definition:* Preference shares that carry a fixed preferential dividend rate and must convert into common equity shares at a specified ratio upon defined trigger events or maturity.
   - *Regulatory & Balance Sheet Status:* Classified as share capital under the Companies Act, 2013, but structured with mezzanine-like repayment preferences over common equity in a liquidation waterfall.
   - *Taxation:* Preference dividends are paid out of post-tax profits and are **not tax-deductible** for the issuing company, unlike debenture interest.
3. **Optionally Convertible Debentures (OCDs) / Optionally Convertible Preference Shares (OCPS):**
   - *Definition:* Hybrid instruments where the investor or the issuer holds the contractual option to either convert the instrument into equity or redeem it as debt at maturity.
   - *Regulatory Status:* Under RBI guidelines, optionally convertible instruments are classified as **Debt** from Day 1. If raised from foreign sources, they must comply with the strict pricing, maturity, and end-use restrictions of the RBI ECB framework.
4. **Subordinated / Mezzanine Debt (with Equity Kickers):**
   - *Definition:* Pure debt instruments that are contractually junior to senior bank lenders, carrying a higher nominal coupon and a “redemption premium” to match the risk profile. To enhance the investor’s yield, these are frequently structured with **“Equity Kickers”**—warrants or options that allow the investor to acquire a small equity stake in the company at a heavily discounted price, capturing a share of the company’s capital appreciation.

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Module 2: Structural Taxonomy and Comparative Analysis (The Capital Matrix)

To master the design of corporate balance sheets, a rookie in finance must be able to contrast Quasi-Equity structures against traditional senior debt, pure common equity, and subordinated debt. The following comparative matrix outlines these key structural differences:

Credit Dimension	Quasi-Equity (CCDs / CCPS)	Senior Secured Project Debt	Pure Common Equity	Subordinated / Mezzanine Debt
Priority of Claim	Subordinated to senior debt; preferential priority over common equity in liquidation waterfall.	Absolute first charge on all project assets, land, machinery, and escrowed cash flows.	Bottom of the waterfall; residual claimant after all debt, taxes, and preferential liabilities are paid.	Junior to senior debt; senior to quasi-equity and common equity.
Repayment Structure	No immediate principal repayment; converts into common equity at maturity or upon pre-defined trigger events.	Structured amortizing monthly or quarterly principal and interest payments over 10 to 18 years.	No contractual repayment or redemption; capital is returned only via share buybacks, capital reduction, or liquidation.	Principal is typically paid as a structured balloon or bullet payment at maturity (or refinanced).
Dilution Risk	Deferred dilution; dilution occurs only at the point of conversion, based on pre-set	Zero dilution risk; lenders do not receive equity ownership or voting control of the enterprise.	Immediate, permanent dilution of the promoter's voting power and equity ownership stake from Day 1.	Zero to minimal; dilution is restricted to minor warrant-based "equity kickers."

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Credit Dimension	Quasi-Equity (CCDs / CCPS)	Senior Secured Project Debt	Pure Common Equity	Subordinated / Mezzanine Debt
	valuation formulas.			
Investor Voting Rights	CCDs carry zero voting rights prior to conversion. CCPS carry limited voting rights restricted to matters affecting preference shareholder rights.	Zero voting rights; control is exercised through restrictive negative and positive covenants, board observers, and escrow controls.	Full, unconditional voting rights on all corporate matters, including board appointments and dividend declarations.	Zero voting rights; control is maintained through strict debt-servicing covenants and inter-creditor agreements.
Coupon / Yield Structure	Flexible: Low nominal cash coupon (5% to 8% p.a.) coupled with a conversion premium or a pre-set target IRR of **14% to 18% p.a.**	Variable or Fixed: Tied strictly to the bank's EBLR or MCLR benchmark (typically **8.50% to 11.50% p.a.**), with zero upside.	Uncapped: Serviced entirely through discretionary dividend distributions and capital appreciation of shares.	High nominal cash coupon (12% to 15% p.a.) + structured redemption premiums to achieve a target IRR of **15% to 20% p.a.**
CERSAI & ROC Filings	For CCDs, registration of the debenture trust deed with the ROC (Form CHG-9) within **30 days** of charge creation.	Mandatory registration of mortgage, hypothecation, and escrow charges on the CERSAI and ROC (CHG-1) portals within **30 days**.	Zero CERSAI filings; corporate share registry is updated via Form PAS-3 filed with the ROC upon allotment.	Second charge or subordinated hypothecation charge registered with CERSAI and ROC (CHG-1) within **30 days**.

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Credit Dimension	Quasi-Equity (CCDs / CCPS)	Senior Secured Project Debt	Pure Common Equity	Subordinated / Mezzanine Debt
Balance Sheet Treatment	Classified as “Other Equity” or “Compound Financial Instruments” under **Ind AS 32**, representing quasi-equity buffer.	Classified strictly as Long-Term Secured Borrowings under non-current liabilities.	Classified as Equity Share Capital under Shareholders’ Funds on the liability side.	Classified as Long-Term Unsecured or Subordinated Borrowings under non-current liabilities.

2.1 Balance Sheet Optimization and the “Equity Treatment” Crossover

A primary strategic objective of utilizing Compulsorily Convertible Debentures (CCDs) is the optimization of the borrowing SPV’s balance sheet to satisfy senior secured lenders.

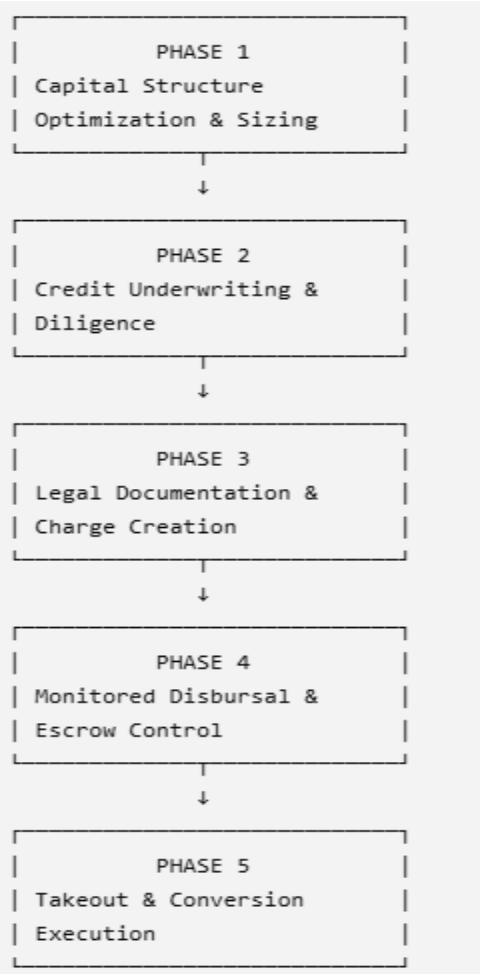
In large-scale project finance, senior lenders enforce strict **Debt-to-Equity (D/E) ratios**, typically capping leverage at **70:30** or **75:25**. If an infrastructure promoter has exhausted their liquid capital, raising the required 25% equity margin standalone is a major bottleneck. Under standard banking guidelines in India, senior lenders are legally permitted to treat Compulsorily Convertible Debentures (CCDs) issued to promoters or mezzanine investors as **quasi-equity/equity-equivalent** for the purposes of calculating the project’s D/E ratio, provided that: * The CCDs are contractually subordinated to the senior debt in terms of payment priority. * There is no contractual right of redemption or cash payout of the principal; the instrument must convert exclusively into equity. * Any coupon or interest payment on the CCDs is subordinated and payable only out of distributable surplus cash flows after senior debt service.

By qualifying as equity-equivalent, CCDs allow the SPV to achieve financial closure and unlock the drawdown of the lower-cost 75% senior project loan, with zero immediate equity dilution for the promoters.

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Module 3: The End-to-End Operational Lifecycle of Quasi-Equity

The successful implementation of a quasi-equity transaction requires a highly disciplined, risk-mitigated operational workflow to align the interests of the promoters, the mezzanine investors, and the senior secured lenders.



3.1 Phase 1: Capital Structure Optimization and Sizing

The operational lifecycle commences with an exhaustive audit of the project SPV's financial model. The transaction architect and credit advisory team map the total capital expenditure (capex), identify the senior debt component, and calculate the exact **promoter equity margin deficit** (the equity gap) that must be bridged. The quasi-equity instrument (e.g., CCDs or CCPS) is sized precisely to fund this gap, ensuring that the combined pool of pure equity and quasi-equity satisfies the senior bank's debt-to-equity covenant (e.g., 25% margin).

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3.2 Phase 2: Investment Underwriting and Due Diligence

In this phase, the quasi-equity investor's underwriting team conducts intensive legal, technical, and financial due diligence. Since the investor's capital is junior to the senior banks and relies on future conversion value, they do not merely look at current collateral. Instead, the underwriter evaluates: 1. **The Feasibility of the Underlying Project:** Analyzing power purchase agreements (PPAs), concession agreements (under NHAI HAM models), or lease-rental covenants to ensure predictable long-term cash flows. 2. **Promoter Integrity and Scorecard Metrics:** Verifying the promoters' credit history (target promoter **CIBIL score > 700**), the company's corporate credit rank (target **CIBIL MSME Rank of CMR 1 to CMR 4**), and checking GSTR-3B filings to validate real-time operational tax compliance. 3. **The Conversion Valuation Formula:** Negotiating the conversion pricing mechanics, setting a "valuation floor" and "valuation cap" to protect the investor against downside risk while allowing the promoter to retain upside potential.

3.3 Phase 3: Legal Documentation and Charge Creation

Upon underwriting approval, the legal architecture is finalized. The parties execute a suite of highly complex legal agreements, including: * **The Share Subscription and Shareholders' Agreement (SHA/SSA):** Outlines the terms of the private placement, the investment tranches, the conversion triggers, and the investor's minority protection rights (such as board representation, veto rights on key corporate decisions, and anti-dilution protections). * **The Debenture Trust Deed (DTD):** For CCDs/OCDs, a registered SEBI-compliant Debenture Trustee is appointed, and a trust deed is executed to secure the interests of the debenture holders. * **Tripartite Escrow & Inter-Creditor Agreement:** Executed between the Senior Lender, the Mezzanine Investor, and the Project SPV. This document contractually establishes the **subordination terms** and the cash waterfall mechanism. * **ROC and CERSAI Registration:** The transaction team files Form PAS-3 (Allotment of Securities) and Form CHG-9 (for secured debentures) with the Registrar of Companies (ROC) and registers any associated collateral charges on the **CERSAI portal within the statutory 30-day window**.

3.4 Phase 4: Monitored Disbursal and Escrow Control

To eliminate **capital diversion risk**—which is the primary cause of credit defaults in structured corporate transactions—disbursal is subjected to rigid escrow controls.

The quasi-equity investment proceeds are never disbursed to the promoter's general current accounts. Instead, the funds are routed directly into a dedicated **SPV Equity Escrow Account** (or a designated Trust and Retention Account - TRA) maintained with the senior project lenders. This direct-to-escrow disbursement ensures that 100% of the quasi-equity capital is injected upfront into the project's construction or capital

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expenditure pool, instantly satisfying the senior bank's conditions precedent and triggering the release of the lower-cost senior debt tranches.

3.5 Phase 5: Takeout and Conversion Execution

The final phase is the execution of the structured takeout or conversion event, strictly aligned with the contractually agreed timeline (typically **12 to 36 months** for construction bridge phases, or up to **7 to 10 years** for long-term mezzanine capital): 1. **Conversion Event:** Upon reaching the defined trigger (e.g., the SPV's Commercial Operations Date (COD), an IPO, or a pre-agreed secondary equity round), the CCDs/CCPS automatically convert into pure common equity shares of the SPV based on the underwritten valuation formula. 2. **Refinancing / Debt Takeout:** In cases where Optionally Convertible Debentures (OCDs) or Subordinated Debt are utilized, once the project is fully operational and cash flows stabilize, the SPV raises a lower-cost long-term operational capex loan or initiates a lease rental discounting (LRD) program. The proceeds of this new bank debt are used to redeem the mezzanine investor's principal and accrued redemption premium, releasing the promoter's pledged assets and restoring 100% ownership control.

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Module 4: Underwriting Framework and Key Credit Risk Metrics

Credit underwriting in quasi-equity requires a fundamental shift in analytical perspective: from balance sheet solvency to cash flow survival. Underwriters apply rigorous quantitative filters to assess viability.

4.1 Traditional Working Capital Sizing Methods

Lenders apply and adapt three classical working capital sizing frameworks:

1. **Tandon Committee's Second Method of Lending:**
   - *Formula & Application:* Under this method, the borrower must contribute a minimum of **25% of the total current assets** as Net Working Capital (NWC) from long-term sources, with the bank financing a maximum of 75%. The target Current Ratio under this method is strictly **1.33:1** or higher.
   - *Quasi-Equity Adaptation:* In structured corporate finance, a company's standalone Current Ratio often falls below 1.33:1 due to excessive short-term operational liabilities. Because Compulsorily Convertible Debentures (CCDs) are classified as equity/long-term subordinated capital under **Ind AS 32**, the underwriter treats the CCD investment proceeds as a long-term Net Working Capital (NWC) injection. This instantly inflates the Current Assets-to-Current Liabilities ratio, restoring the Current Ratio to a compliant level (>1.33:1) and satisfying the senior bank's underwriting requirements.
2. **Projected Turnover Method (PTM / Nayak Committee):**
   - *Application:* Mandated for working capital limits up to **₹5 Crores**. Under this framework, the total working capital requirement is estimated at **25% of the projected annual turnover**. The promoter must contribute **5% of the turnover** as equity margin, and the bank funds the remaining **20%**.
   - *Quasi-Equity Adaptation:* For fast-growing MSME project contractors, underwriters validate the projected turnover by running GSTR-1 and GSTR-3B matching scripts. If the historical tax filing velocity supports the projections, the bank approves the interim limit, treating the promoter's subordinated CCDs as their 5% margin contribution.
3. **Cash Budget Method (CBM):**
   - *Application:* Applied for seasonal industries, fast-growing contractors, or distressed entities where inventory-to-sales cycles are highly irregular.

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The borrower submits a monthly cash inflow and outflow statement, and the bank sizes the interim limit based on the **Peak Deficit** identified in the cash budget.

4.2 Scorecard Underwriting and Validation Metrics

To hedge against operational defaults and ensure cash flow predictability, underwriters cross-reference data from the following portals:

- **Promoter CIBIL Score:** Target score must be **>700**. A lower score indicates weak personal credit discipline, raising the risk of capital diversion.
- **CIBIL MSME Rank (CMR):** Target rank must be between **CMR 1 and CMR 4**. CMR ranks evaluate the probability of default for MSMEs on a scale of 1 (lowest risk) to 10 (highest risk). Ranks above CMR 5 require enhanced credit mitigation, such as higher cash margins or corporate guarantees.
- **Interest Coverage Ratio (ICR) / Debt Service Coverage Ratio (DSCR):** Target ICR/DSCR must be **>1.25x**, ensuring that the cash flows generated by the underlying project are more than sufficient to cover the higher interest premiums associated with junior financing.
- **Bank Statement Analysis (BSA):** Using the **Account Aggregator (AA)** framework, lenders analyze bank statements to detect circular trading, inward/outward cheque bounces, and unauthorized cash withdrawals.
- **GST Portal Real-Time Validation:** Lenders execute real-time APIs to match the invoices submitted for discounting against the seller’s GSTR-1 (liability declaration) and the buyer’s GSTR-2B (input tax credit auto-population), ensuring the transactional data is 100% genuine and free from invoice duplication.

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Module 5: Legal Framework, Security Creation, and Documentation

The viability of quasi-equity structures rests upon their legal enforceability and the robustness of their security architecture.

5.1 Statutory Foundations in India

1. **The Companies Act, 2013:**
   - **Private Placement & Preferential Allotment:** The issuance of CCDs or CCPS must strictly comply with **Section 42 and Section 62** of the Companies Act, 2013, which govern private placement and preferential issue of securities. It requires a special resolution passed by the shareholders (minimum **75% voting approval**), the preparation of a Private Placement Offer Letter (Form PAS-4), and the creation of a separate bank account to hold the subscription money until allotment (Form PAS-3 filed within 15 days).
   - **No Public Deposits:** Under Section 73, any deposit or loan raised from the public by an unlisted company is prohibited unless it complies with strict cash reserves. Structured CCDs with a mandatory conversion clause are explicitly exempted from the definition of “deposits,” protecting the company from regulatory violations.
2. **Section 172 of the Indian Contract Act, 1872:**
   - This section defines a **pledge** as the bailment of goods as security for payment of a debt or performance of a promise. In modern corporate finance, this governs the **pledge of dematerialized securities**. The pledge is executed electronically through depository participants (CDSL and NSDL) under the Depositories Act, 1996. The lender’s DP account marks a formal “lien” on the shares, preventing the promoter from selling, transferring, or voting against the lender’s interest without an explicit release.
3. **Section 130 of the Transfer of Property Act, 1882:**
   - This section governs the **absolute assignment of actionable claims**. In quasi-equity, the promoter executes an absolute assignment of all future cash dividends, share buyback proceeds, and other corporate distributions generated by the pledged shares. Upon execution, the depository and the issuing company are legally bound to route these cash flows directly into the lender’s escrow account.
4. **The SARFAESI Act, 2002:**

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- Under the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002, secured lenders hold powerful foreclosure rights. If a borrower defaults, the secured lender can issue a **60-day statutory demand notice under Section 13(2)**. If the borrower fails to cure the default, the lender is legally empowered under **Section 13(4)** to take physical possession of the mortgaged property or take over the management of the business without intervention of the courts. Lenders must register all charges on the **CERSAI portal within 30 days** of charge creation to enforce their SARFAESI foreclosure rights.

5.2 Mandatory Documentation Covenants

- **Share Subscription Agreement (SSA) and Shareholders' Agreement (SHA):** Governs the private placement, investment tranches, conversion triggers, and the investor's minority protection rights (such as board representation, veto rights on key corporate decisions, and anti-dilution protections).
- **Inter-Creditor Agreement (ICA):** Executed between the Senior Lender, the Mezzanine Investor, and the Project SPV. This document contractually establishes the **subordination terms** and the cash waterfall mechanism.
- **Irrevocable Power of Attorney (PoA):** The promoter executes an irrevocable Power of Attorney in favor of the lender, authorizing the lender to sell, transfer, or liquidate the pledged shares in the open market immediately upon an uncured margin default.

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Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment

Quasi-equity structures are not universally applicable; they align with capital-intensive, high-growth sectors where upfront equity requirements are massive and traditional asset-heavy term loans are insufficient.

6.1 Suitable Industries and Business Profiles

1. **Infrastructure, Roads & Highways:** Developers executing National Highways Authority of India (NHAI) Hybrid Annuity Model (HAM) or Build-Operate-Transfer (BOT) projects. These projects require substantial equity margins to unlock bank debt.
2. **Renewable Energy (Solar & Wind):** SPVs setting up multi-megawatt solar parks or wind farms. These projects operate under long-term Power Purchase Agreements (PPAs) with creditworthy discoms, providing highly predictable cash flows to support the PMF takeout.
3. **Real Estate and Commercial Warehousing:** Developers establishing logistics parks, Grade-A IT parks, or housing projects registered under the **Real Estate Regulatory Authority (RERA)**. LRD (Lease Rental Discounting) serves as a primary takeout mechanism for these projects.
4. **Technology & High-Growth Unicorns:** Pre-revenue or fast-scaling SaaS, FinTech, and biotechnology firms with massive valuations but minimal physical assets, making them ineligible for standard bank term loans. Mezzanine debt and convertible CCDs allow them to scale without immediate dilution of voting power.

6.2 Working Capital and Debt Trends in India

To align credit underwriting with national financial realities, lenders evaluate macroeconomic benchmarks compiled from commercial credit data and public sector bank disclosures:

- **SME and Trader Concentrations:** According to the SIDBI MSME Pulse Report, **Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore exposure segment. This highlights the high concentration of working capital debt in the trading segment, making structured, asset-backed funding like LRD or PMF critical for capital diversification.
- **Digital Public Credit Infrastructure:** Large public sector banks utilize highly automated digital portals to facilitate trade and working capital financing. State Bank of India (SBI) leads this digital transformation:

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- **SBI e-DFS (Electronic Dealer Financing Scheme):** Actively supports distributor networks with an outstanding portfolio size of **₹49,261 Crores**, automating inventory drawdowns.
- **SBI e-VFS (Electronic Vendor Financing Scheme):** Supports upstream suppliers with an active portfolio of **₹28,092 Crores**, automating invoice discounting linked to corporate anchors.

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Module 7: Commercial Pricing Mechanics and Financial Models

Due to the structural complexity and subordination risk of underlying asset collateral, quasi-equity is priced at a premium over senior mortgage debt, but structured to maximize tax efficiency.

7.1 Pricing Benchmarks and Fees

- **Interest Rate Spreads & IRR Targets:** Typically priced over the bank's **Marginal Cost of Funds Based Lending Rate (MCLR)** or the **External Benchmark Linked Rate (EBLR)** tied to the RBI Repo Rate. For quasi-equity, commercial lenders target an all-in **Internal Rate of Return (IRR) of 14.00% to 18.00% p.a.**, achieved through a combination of a low nominal cash coupon (5% to 8% p.a.) and a structured redemption premium or conversion discount at the exit event.
- **Arrangement / Processing Fees:** Charged upfront, typically ranging from **1.00% to 2.50%** of the sanctioned limit, reflecting the intensive legal, technical, and depository due diligence required.
- **GST Treatment:** Upfront processing fees, valuation costs, and legal charges attract standard **18% GST**. However, any **interest or coupon charged on the daily utilized balance of the debentures is completely exempt from GST**, making reducing-balance debt highly cost-effective.
- **Corporate Tax Shields:** Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for business expansion or investment is a fully deductible business expense. Promoter groups utilize this tax shield to offset their corporate tax liabilities (at standard corporate tax rates of **25.17%** for manufacturing companies or **31.20%** for holding companies), dramatically lowering the effective post-tax cost of borrowing.

7.2 Financial Mathematics of Daily Reducing Balance

Traditional corporate loans charge interest on the entire disbursed principal. In contrast, structured quasi-equity operates on a **daily reducing balance negative current account limit** or structured term limit. Interest accrues daily only on the exact outstanding balance utilized at the close of each banking day, using the formula:

$$extDailyInterestAccrual = racextOutstandingBalanceimesextAnnualInterestRate365$$

By sweeping parent company dividends and project SPV payouts into the escrow account, the outstanding principal is immediately reduced, lowering the cumulative interest outdrawn over the tenure.

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Module 8: Regulatory Compliance, RBI Guidelines, and IRACP Asset Classification

Quasi-equity issuers and lenders must navigate a rigid regulatory environment to prevent asset downgrades and ensure strict compliance with banking norms.

8.1 RBI Guidelines on Loans Against Shares

Lenders must strictly comply with the RBI's Master Circulars on Loans and Advances: * **The ₹20 Lakhs Individual Cap:** Under RBI guidelines, loans to **individuals** against the security of dematerialized shares are capped at a strict statutory ceiling of **₹20 Lakhs** (and ₹10 Lakhs for physical shares). * **Corporate and Holding Company Exemption:** Crucially for project finance, **corporate borrowers, holding companies, and promoter groups are completely exempt from this ₹20 Lakhs individual cap**. They can raise high-value funding (spanning tens or hundreds of Crores) against listed parent shares, subject to strict underwriting and LTV compliance. * **Minimum Margin Covenants:** RBI mandates that banks must maintain a minimum margin of **50.00%** (equivalent to a maximum LTV of 50.00%) for all loans granted against shares.

8.2 RBI IRACP Asset Classification and "Out of Order" Triggers

Under the RBI's **Income Recognition, Asset Classification, and Provisioning (IRACP) Guidelines, 2025**, loans are classified as non-performing assets (NPAs) if they remain irregular for a specified window:

- **The 90-Day Delinquency Clock:** For fund-based facilities (including quasi-equity term loans), an account is classified as an NPA if the interest or principal remains overdue for more than **90 days**.
- **Special Mention Account (SMA) Categorization:** Accounts are tracked through early warning stages:
  - **SMA-0:** Principal or interest payment overdue for **1 to 30 days**.
  - **SMA-1:** Principal or interest payment overdue for **31 to 60 days**.
  - **SMA-2:** Principal or interest payment overdue for **61 to 90 days**.
- **"Out of Order" Status for Revolving CC/OD Limits:** A revolving interim limit is classified as "Out of Order" (and downgraded to an NPA) if:
  1. The outstanding balance remains continuously in excess of the sanctioned limit/Drawing Power for **90 days**.
  2. Or, if there are no credit inflows into the account for **90 days**, or the inflows are insufficient to cover the interest debited during the same 90-day window.

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- **The 180-Day Technical Review Default:** If a bank fails to review or renew an interim working capital limit within **180 days** from its scheduled due date, the limit is classified as a technical default and downgraded to an NPA, highlighting the importance of the annual review cycle.

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Module 9: Comprehensive Real-World Case Study (Mumbai Green Power SPV Ltd.)

To ground these theoretical concepts in commercial reality, this module analyzes a detailed, step-by-step mathematical scenario in Indian Rupees (₹) modeling a structured Quasi-Equity transaction.

9.1 The Corporate Profile and Liquidity Crisis

- **The Promoter:** *Mehta Power Projects Pvt. Ltd. (MPPPL)*
- **Corporate Tax Rate: 25.17%** (manufacturing entity under Section 115BAA of the Income Tax Act).
- **The Project SPV:** *Mumbai Green Power SPV Ltd. (MGPSEL)*
- **The Situation:** MGPSEL has been awarded a bid to construct a **100 Megawatt (MW) Solar Power Plant** in Maharashtra. The total estimated project capital expenditure is **₹100,00,00,000 (₹100 Crores)**.
- **The Financing Structure:** A consortium of public sector banks has approved a Senior Project Loan of **₹75,00,00,000 (₹75 Crores)** (75% debt component) at an attractive interest rate of 8.50% p.a. However, a strict condition precedent for the first drawdown of this project debt is the upfront injection of the **25% Promoter Equity Margin**, equivalent to **₹25,00,00,000 (₹25 Crores)**.
- **The Equity Gap:** Mr. Rajesh Mehta has a severe liquidity mismatch. While his holding company, MPPPL, owns equity shares in their listed parent entity (*Mehta Global Enterprises Ltd.*) valued at **₹60,00,00,000 (₹60 Crores)**, they only have ₹5 Crores in cash. If MPPPL liquidates ₹20 Crores of listed shares to fund the equity gap, they will face:
    1. Immediate **12.50% Long-Term Capital Gains (LTCG) Tax** on the gains, costing an estimated **₹2,50,00,000** in cash.
    2. Public market negative signaling, triggering a potential drop in parent share price.
    3. Loss of voting rights and market compounding on the sold shares.

9.2 The Structured Quasi-Equity Solution (Pathway B)

A structured infrastructure NBFC steps in to fund the equity gap, establishing the following covenants: 1. **Facility Sizing:** A non-revolving Compulsorily Convertible Debenture (CCD) facility of **₹20,00,00,000 (₹20 Crores)** is issued by MGPSEL and subscribed by the NBFC. (Combining this with their ₹5 Crores cash satisfies the ₹25 Crore equity margin requirement). 2. **Collateral Offered:** A demat pledge over 1.2

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million shares of *Mehta Global Enterprises Ltd.*, valued at **₹60,00,00,000 (₹60 Crores)**, providing a robust **3.0x collateral cover** (or a conservative **33.33% LTV**, well within the statutory 50% LTV ceiling). 3. **Escrow Structure:** A tripartite Trust & Retention Account (TRA) is executed. The CCD proceeds are transferred directly from the NBFC into the project SPV's Equity Escrow Account, satisfying the senior bank's condition precedent. 4. **Pricing:** Interest (coupon) is priced at **12.50% p.a.** on a daily reducing balance basis during the 1-year construction phase. An upfront processing fee of **1.50%** is charged. 5. **Tenure:** Structured as a **1-year construction bridge**, converting into pure equity shares of the SPV on the Commercial Operations Date (COD).

9.3 Alternative Pathway A: Standalone Unsecured Corporate Debt

If MPPPL had attempted to raise funding standalone without a structured depository pledge or project escrow, it would have been forced to approach distressed-asset NBFCs, facing: * Standalone unsecured interest rate of **20.00% p.a.** * Upfront processing fee of **3.50%** of the loan value. * High operational friction, with no tax-effective FD interest offsets.

9.4 Detailed Mathematical Cost Comparison Model

The following table provides the exact pre-tax and post-tax cost comparison between the Standalone Unsecured Pathway (Pathway A) and the Structured Quasi-Equity Pathway (Pathway B) in Indian Rupees over the 1-year cycle:

Financial Metric	Pathway A (Standalone Unsecured Debt)	Pathway B (Structured CCD Pathway)
Loan Principal Amount	₹20,00,00,000	₹20,00,00,000
Financing Interest Rate	20.00% p.a.	12.50% p.a.
Financing Tenure	365 Days	365 Days
Gross Interest Cost	**₹4,00,00,000.00**	**₹2,50,00,000.00** *(calculated strictly on daily reducing balance)*
Upfront Processing Fee	₹70,00,000.00 *(3.50% of loan)*	₹30,00,000.00 *(1.50% of loan)*
Upfront GST on Fee (18%)	₹12,60,000.00 *(fully recoverable ITC)*	₹5,40,00,00.00 *(fully recoverable ITC)*
Lien-Marked Cash Margin	₹0.00 *(no FD possible)*	₹3,00,00,000.00 *(15% of loan)*

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Financial Metric	Pathway A (Standalone Unsecured Debt)	Pathway B (Structured CCD Pathway)
FD Interest Earned (6.50%)	₹0.00	**-₹19,50,000.00** *(1-year pre-tax FD yield)*
Margin Capital Opportunity Cost	₹0.00	**+₹45,00,000.00** *(at 15.00% ROCE p.a.)*
Total Opportunity-Adjusted Pre-Tax Cost	**₹4,70,00,000.00**	**₹3,05,50,000.00**
Corporate Income Tax Shield (25.17%)	**-₹1,18,29,900.00** *(applied to interest + fee)*	**-₹70,47,600.00**
Net Post-Tax Opportunity-Adjusted Cost	**₹3,51,70,100.00**	**₹2,35,02,400.00**
Effective Annualized Post-Tax Rate	**17.59% p.a.**	**11.75% p.a.**

9.5 Key Financial Findings and “So What” Analysis

The mathematical model reveals a staggering divergence in credit efficiency. By choosing the **Structured Quasi-Equity Pathway (Pathway B)**, MPPPL achieves an effective post-tax annualized borrowing rate of **only 11.75% p.a.**, compared to **17.59% p.a.** under the standalone route.

The “So What” Summary: This structured program delivers **₹1,16,67,700.00 (₹1.16 Crores) in direct, post-tax cash savings** to MPPPL on a single 1-year cycle. More importantly, by raising the ₹20 Crores securely through the structured depository share pledge, Mr. Rajesh Mehta successfully triggered the drawdown of the **₹75 Crore Senior Project Loan** on schedule, the solar power plant construction commenced without delay, MPPPL completely avoided selling its parent company shares (retaining full voting control and saving **₹2.5 Crores in avoided capital gains taxes**), and the project SPV is on track to achieve its commercial operations date on schedule, maximizing long-term enterprise value!

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Module 10: 10-Question Professional Certification Examination & Rationales

This module contains ten scenario-based, highly rigorous practice questions designed to test a trainee's underwriting, legal, and regulatory knowledge of Quasi-Equity Structures in India.

Question 1

A corporate developer wants to raise ₹15 Crores of Compulsorily Convertible Debentures (CCDs) via private placement to fund their project SPV. Under Section 42 of the Companies Act, 2013, what is the minimum shareholder voting approval required to pass the special resolution authorizing this issue? * A) 51% of members present and voting. * B) 66% of the total board of directors. * C) 75% of shareholders present and voting in a general meeting. * D) 90% of the voting share of the Committee of Creditors. * **Answer:** C * **Rationale:** Under the Companies Act, 2013, any private placement or preferential allotment of convertible securities (such as CCDs or CCPS) under Section 42 and Section 62 requires the approval of the shareholders via a special resolution, which contractually mandates a minimum of **75% voting approval** of members present and voting at a general meeting.

Question 2

A promoter group issues CCDs valued at ₹50 Crores to mezzanine investors. Under Ind AS 32 (Indian Accounting Standards), how should these CCDs be classified in the SPV's financial statements prior to conversion? * A) Long-Term Secured Debt * B) Current Liability * C) Other Equity / Compound Financial Instruments * D) Contingent Liability * **Answer:** C * **Rationale:** Under **Ind AS 32**, because CCDs contain a contractual obligation to convert exclusively into equity shares with no contractual obligation for cash redemption of the principal, they are classified as **"Other Equity"** or "Compound Financial Instruments" (representing quasi-equity capital), satisfying senior banks' leverage covenants.

Question 3

A project SPV is structured with a 75:25 senior debt-to-equity ratio. To meet the 25% promoter margin requirement on a ₹100 Crore project, the promoter issues ₹20 Crores of CCDs to a financial investor. Under what condition will a consortium of Indian public sector banks treat these CCDs as "quasi-equity" for debt-to-equity compliance? * A) The CCDs must carry an interest rate of at least 15.00% p.a. * B) The CCDs must be contractually subordinated to the senior debt and convert exclusively into equity with no redemption rights. * C) The promoter must pledge their personal residence as additional security. * D) The CCDs must convert into equity within 12 months. * **Answer:** B *

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Rationale: For senior secured lenders in India to classify mezzanine CCDs as “quasi-equity equivalent” for project debt-to-equity margin compliance, the instrument must be contractually subordinated to the senior debt in terms of payment priority and must possess **zero redemption rights** (compulsorily converting into equity shares).

Question 4

An infrastructure SPV experiences a technical default on its senior loan, and the account is classified as SMA-1. What is the overdue timeline of the principal or interest payment for an account to enter the SMA-1 early warning category under RBI’s IRACP guidelines? * A) 1 to 30 days. * B) 31 to 60 days. * C) 61 to 90 days. * D) More than 90 days. * **Answer:** B * **Rationale:** Under the RBI’s **Income Recognition, Asset Classification, and Provisioning (IRACP) Guidelines**, early warning default stages are strictly defined as: SMA-0 (overdue for 1 to 30 days), **SMA-1 (overdue for 31 to 60 days)**, and SMA-2 (overdue for 61 to 90 days).

Question 5

A promoter pledges shares of their listed company to secure a CCD subscription. If the lender wishes to register this pledge electronically through NSDL or CDSL DP accounts, under which section of the Indian Contract Act, 1872 is this transaction legally governed? * A) Section 126 * B) Section 130 * C) Section 172 * D) Section 185 * **Answer:** C * **Rationale:** Under **Section 172 of the Indian Contract Act, 1872**, a pledge is defined as the bailment of goods (or dematerialized shares) as security. For demat shares, the pledge is electronically registered as a lien marked on the depository participants’ portal (CDSL/NSDL).

Question 6

Under Section 130 of the Transfer of Property Act, 1882, how does a mezzanine lender secure rights over future cash dividends generated by the promoter’s pledged shares? * A) By registering a physical mortgage at the local Sub-Registrar’s office. * B) By executing an absolute assignment of actionable claims, legally binding the depository to route dividends directly to the lender’s escrow. * C) By filing a default recovery application with the Debt Recovery Tribunal (DRT). * D) By converting the shares into physical certificates. * **Answer:** B * **Rationale:** Under **Section 130 of the Transfer of Property Act, 1882**, the absolute assignment of actionable claims (such as future receivables or corporate cash dividends) transfers full legal ownership of those cash flows to the assignee (Lender), isolating them from the borrower’s general accounts.

Question 7

To enforce foreclosure rights on a defaulted corporate borrower’s land collateral without judicial intervention, within how many days must the secured creditor register their

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security interest charge on the CERSAI portal under the SARFAESI Act, 2002? * A) 10 Days * B) 30 Days * C) 60 Days * D) 90 Days * **Answer:** B * **Rationale:** Under the SARFAESI Act, 2002, to legally enforce foreclosure rights (such as issuing 60-day demand notices under Section 13(2) and taking possession under Section 13(4)), the secured creditor must ensure that the security charge is registered on the **CERSAI portal within the statutory 30-day window** from charge creation.

Question 8

According to the national credit trends compiled by SIDBI in the MSME Pulse Report, which segment represents the highest concentration (44%) of working capital borrowers in the ₹10 Lakh to ₹2 Crore exposure segment? * A) Infrastructure Sub-contractors * B) Renewable Energy SPVs * C) Retail and Wholesale Traders * D) Auto Component Manufacturers * **Answer:** C * **Rationale:** The SIDBI MSME Pulse Report highlights that **Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore exposure segment.

Question 9

A corporate group issues CCDs @ 12.50% interest p.a. to mezzanine investors. Under which section of the Income Tax Act, 1961, can the borrowing SPV deduct the interest paid on these CCDs from its taxable corporate income prior to conversion? * A) Section 37(1) * B) Section 43B * C) Section 36(1)(iii) * D) Section 80IA * **Answer:** C * **Rationale:** Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for the purposes of the business or profession (such as CCD coupon servicing) is a fully deductible business expense, providing a valuable tax shield to the borrowing company.

Question 10

If a commercial bank fails to execute a formal credit review and renewal of an active revolving working capital limit, how many days from the scheduled renewal due date can pass before the account is classified as a technical default NPA under RBI IRACP guidelines? * A) 90 Days * B) 120 Days * C) 180 Days * D) 365 Days * **Answer:** C * **Rationale:** Under the RBI's **IRACP Guidelines**, banks are required to review and renew working capital and short-term limits annually. If a bank fails to review or renew an active limit within **180 days** from its scheduled renewal due date, the facility is automatically classified as a technical default and downgraded to an NPA.

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